

LAYERSTONE

3D Printed Affordable Housing

Business Plan V1.0

Building homes layer by layer. Making quality housing affordable for everyone

London & Birmingham | June 2026 | Confidential

Table of Contents

1. Executive Summary
 2. Mission & Vision
 3. The Problem. UK Housing Crisis
 4. The Solution: 3D Printed Housing
 5. Technology Overview
 6. Market Opportunity
 7. Legal Structure (Two Pathways)
 8. Regulatory & Planning Framework
 9. Service Offering & Pricing
 10. Revenue Model
 11. Competitive Landscape
 12. Financial Projections
 13. Risk Analysis
 14. Pilot Launch Strategy
 15. Social Impact & Phase 2 Vision
-

1. Executive Summary

Layerstone is a social enterprise that will build high-quality, affordable homes using 3D concrete printing technology. Dramatically reducing construction costs, timelines, and the barriers that keep rents unaffordable across the UK.

The UK faces a housing crisis of historic proportions. London alone has over 300,000 people on social housing waiting lists, average rents consume 40–50% of household income, and the city underbuilds by approximately 20,000–25,000 homes every year. Traditional construction is too slow, too expensive, and too labour-intensive to close this gap.

3D concrete printing (3DCP) offers a fundamentally different approach. A single printer can produce the structural shell of a house in 12–24 hours, using 30–40% less material than conventional methods and requiring 50–80% fewer on-site workers. Layerstone will use this technology. Through partnerships with established 3D construction firms such as Icon. To deliver homes at a target cost of £80,000–£120,000 per unit, compared to £200,000–£300,000 for traditional construction.

The business will operate in primarily in London, but may also expand to other areas such as Birmingham, targeting brownfield and council-owned land accessed through the Public Land for Housing Programme and Brownfield Land Release Fund. Rent will be set proportionally to tenant income (25–30% of gross income, capped at Local Housing Allowance rates), ensuring genuine affordability.

This plan presents two legal structure pathways. Starting as a Community Interest Company (CIC) or as a Registered Housing Provider (RHP). With full financial modelling for each. Both paths lead to the same destination. A scalable, mission-driven housing provider that proves 3D printing can solve the UK's housing shortage.

Phase 2 of the business will introduce a homeless rehousing and employment programme, offering construction training and property maintenance roles to tenants. This social mission is core to Layerstone's long-term vision, but the construction model must be proven first.

2. Mission & Vision

2.1 Mission Statement

To build affordable, high-quality homes using 3D printing technology, making safe housing accessible to everyone (regardless of income.)

2.2 Vision

A United Kingdom where no one is priced out of a quality home. Layerstone aims to demonstrate that construction innovation, paired with a social enterprise model, can break the cycle of unaffordable housing that has defined British cities for decades.

2.3 Core Values

- Affordability First. Every decision is measured against whether it keeps rent lower
- Innovation with Purpose. Technology serves people, not the other way around
- Transparency. Income-proportional rent means tenants always know what they'll pay and why
- Community. Homes build neighbourhoods, not just balance sheets
- Sustainability. 3D printing reduces waste, carbon, and environmental impact

2.4 Long-Term Goals

Timeframe	Goal
Year 1–2	Prove the model: 5–10 homes, first tenants, validated unit economics
Year 3–5	Scale to 50–100 homes across London and Birmingham
Year 5–10	Expand to 5+ UK cities, 500+ homes, launch homeless rehousing programme
Year 10+	Become a nationally recognised affordable housing provider, influencing UK housing policy

3. The Problem: UK Housing Crisis

3.1 The Scale of the Crisis

The United Kingdom (and London in particular). Is experiencing the worst housing affordability crisis in modern history. The problem is structural, not cyclical. Demand has outstripped supply for over two decades, and the gap is widening.

Metric	London	Birmingham	UK Average
Average monthly rent (1-bed)	£1,800–£2,400	£750–£950	£800–£1,200
Average house price	£550,000–£620,000	£220,000–£260,000	£290,000
Price-to-income ratio	10–14x	6–8x	7–8x
Rent as % of income	40–50%	30–38%	28–35%
Social housing waiting list	300,000+	15,000+	1.2 million
Rough sleepers (latest count)	~2,500	~40	~3,000
New homes needed annually	66,000	4,000+	300,000
Homes actually built annually	~42,000	~3,200	~230,000

1. Sources. ONS House Price Index, GLA Housing Report, Valuation Office Agency, MHCLG Rough Sleeping Statistics.

3.2 Why the Gap Exists

- Land costs. London land prices range from £2M–£15M per acre, making affordable development nearly impossible without subsidy
- Construction costs. Traditional building costs £200,000–£300,000 per unit in London, with labour shortages driving costs higher
- Labour shortages. The construction industry faces a 25% skilled worker deficit, worsened by post-Brexit migration changes
- Planning delays. Average planning permission timeline is 12–18 months, adding cost and uncertainty
- Profit-driven development. Private developers prioritise premium housing over affordable units, often negotiating down Section 106 obligations

3.3 Who Suffers

- Young professionals spending 50%+ of income on rent, unable to save for deposits
- Families in temporary accommodation (160,000+ people in London alone)
- Key workers (nurses, teachers, police) priced out of the cities they serve
- Homeless individuals with no pathway to permanent housing
- Immigrants and refugees facing additional barriers to housing access

The crisis is not a problem of ambition or policy. It is a problem of capacity. The UK simply cannot build homes fast enough, cheaply enough, with traditional methods.

4. The Solution: 3D Printed Housing

Layerstone will use 3D concrete printing (3DCP) to build homes at a fraction of the cost, time, and labour of traditional construction. Then rent them at rates proportional to tenant income.

4.1 What 3D Printed Housing Offers

Factor	Traditional Build	3D Printed Build	Saving
Construction cost per unit	£200,000–£300,000	£80,000–£120,000	40–60%
Structural build time	6–12 months	12–24 hours (printing)	90%+
Total build time (inc. fit-out)	12–18 months	3–6 months	60–75%
On-site workers required	15–25	3–5	75–80%
Material waste	15–25%	2–5%	80–90%
Design flexibility	Limited by formwork	Unlimited (digital)	Significant
Weather dependency	High	Low (can print in enclosure)	Moderate

4.2 The Layerstone Difference

Layerstone is not a technology company. It is a housing provider that uses technology. The distinction matters:

- We do not manufacture printers. We partner with established 3D printing firms (Icon, COBOD) who provide the hardware and technical expertise
- We focus on what they don't. UK regulatory management, land acquisition, tenant management, and social impact
- We rent, not sell. Every home remains in the Layerstone portfolio, generating long-term income and community stability
- Income-proportional rent means affordability is structural, not a marketing claim

4.3 Income-Proportional Rent Model

Tenants pay 25–30% of their gross household income in rent, capped at the Local Housing Allowance (LHA) rate for the area. This means:

Annual Household Income	Monthly Rent (25–30%)	vs London Average (1-bed)	Saving
£20,000	£417–£500	£1,800–£2,400	72–79%
£30,000	£625–£750	£1,800–£2,400	58–69%
£40,000	£833–£1,000	£1,800–£2,400	50–58%
£50,000+	Capped at LHA (~£1,100)	£1,800–£2,400	39–54%
Birmingham £20,000	£417–£500	£750–£950	34–47%
Birmingham £30,000	£625–£750	£750–£950	0–21%

The model works because 3D printing reduces construction costs so dramatically that lower rents still cover operating expenses and debt service. In Birmingham, Layerstone rents are competitive with market rates even at the affordable tier. The real impact is in London, where the gap between market rent and affordable rent is enormous.

5. Technology Overview

5.1 How 3D Concrete Printing Works

3D concrete printing (3DCP) uses a computer-controlled robotic arm or gantry system to extrude specially formulated concrete in layers, building up structural walls directly from a digital model.

The Process

- Step 1. Digital Design. Architectural plans are converted to 3D printer instructions (G-code), allowing unlimited design customisation
- Step 2. Site Preparation. Foundation laid traditionally (poured concrete slab), printer positioned on-site or in nearby staging area
- Step 3. Printing. Robotic arm extrudes concrete layer by layer at 15–30mm per layer, building walls at speeds of 300–600mm per minute vertically
- Step 4. Reinforcement. Steel reinforcement inserted between printed layers or post-tensioned, depending on structural requirements
- Step 5. Fit-Out. Roof, windows, doors, plumbing, electrics, and insulation installed by conventional trades (this is the majority of total build time)
- Step 6. Finishing. Internal plastering, painting, kitchen and bathroom installation, landscaping

5.2 Key Technology Partners

Icon (Austin, Texas)

- The global leader in 3D printed construction, having delivered 100+ homes in the US
- Vulcan printer: 42ft × 28ft × 22ft footprint, prints structural walls in 12–24 hours
- Target cost per unit: \$150,000–\$300,000 (US market)
- No current UK operations. Layerstone would be a UK launch partner opportunity
- Partnership model. Technology licensing, equipment lease, or joint venture

COBOD (Copenhagen, Denmark)

- European leader in construction 3D printing, active in Denmark, Germany, Netherlands
- BOD2 printer. Modular gantry system, customisable footprint
- Closer to UK market geographically; active in European regulatory environments
- Potential secondary partner or competitive alternative to Icon

5.3 Materials

3DCP uses specially formulated concrete mixtures (printable mortars) with properties optimised for layer adhesion, structural strength, and buildability:

- Compressive strength: 30–60 MPa (comparable to or exceeding standard structural concrete)
- Fibre reinforcement. Polypropylene or steel fibres added for tensile strength

- Additives. Accelerators for fast setting, retarders for workability in warm conditions
- Insulation. External insulation boards (EPS/mineral wool) applied after printing. 3D printed concrete alone does not meet Part L thermal requirements

5.4 UK-Specific Adaptations

- Insulation layer required to meet Part L energy standards (not needed in warmer US/Middle East climates)
- Roof structure must meet UK wind loading standards (Part A)
- Fire cavity barriers at wall junctions (Part B)
- DPC (damp proof course) and ventilation provisions (Part C/F)
- All services (plumbing, electrics) installed to UK standards by qualified trades

6. Market Opportunity

6.1 Total Addressable Market

Market Segment	Size	Description
TAM — UK Affordable Housing	£12.8B annually	Total UK spending on affordable housing delivery (government + private)
SAM — London + Birmingham Affordable	£4.2B annually	Affordable housing investment in Layerstone's target cities
SOM — Year 3 Target	£2M–£5M	Revenue from 20–50 units across both cities

6.2 Market Drivers

- Annual shortfall of 70,000+ affordable homes nationally (300,000 needed, ~230,000 built, fewer than half affordable)
- Government Affordable Homes Programme 2021–2026: £11.5 billion allocated, actively seeking innovative delivery partners
- Construction labour shortage (25% deficit) making traditional methods increasingly expensive
- Growing political pressure on councils to deliver housing (they need new solutions)
- Modular and modern methods of construction (MMC) actively promoted by Homes England
- Community Housing Fund: £163M allocated 2023–2028 for community-led housing

6.3 Why Now

- 3D printing technology has matured. Icon has delivered 100+ homes in the US, proving commercial viability
- No UK company has yet commercialised 3DCP for affordable housing (first-mover opportunity)
- Post-pandemic housing demand surge has made the crisis politically urgent
- Interest rate rises have slowed traditional development. Lower-cost methods are more attractive than ever
- Brownfield Land Release Fund provides direct funding for site remediation on target sites

7. Legal Structure. Two Pathways

Layerstone's mission can be delivered through different legal structures, each with distinct advantages. This section presents two viable pathways with a side-by-side comparison.

7.1 Path A: Community Interest Company (CIC) → RHP Transition

How It Works

- Register as a CIC (Community Interest Company). A limited company with a community purpose, regulated by the CIC Regulator
- CIC Articles include an 'asset lock'. Profits and assets must be used for community benefit, not distributed to shareholders
- Operate as a CIC for Years 1–3 (pilot phase), building track record
- Apply to the Regulator of Social Housing (RSH) for Registered Housing Provider (RHP) status once operating 50+ units
- RHP status unlocks government grants, housing finance corporation loans, and bond market access

Advantages

- Lower setup cost and administrative burden (~£30 registration fee, standard company formation)
- Faster to establish (can be operational within 2–4 weeks)
- Community-focused branding and governance from day one
- Eligible for Community Housing Fund grants (up to £163M programme) and social investment
- Can accept equity investment from social impact investors

Disadvantages

- Cannot access Affordable Homes Programme grants until RHP registered
- Limited access to institutional housing finance (housing associations can borrow at 2–3% vs commercial 5–7%)
- Must transition governance structures when applying for RHP status (adds complexity at Year 3)
- Some councils prefer working with established RHPs for land partnerships

7.2 Path B: Registered Housing Provider (RHP) from Day One

How It Works

- Apply directly to the Regulator of Social Housing (RSH) for registration as a new RHP
- Must demonstrate. Viable business plan, competent board (typically 5+ members with housing/finance expertise), financial viability, and governance framework
- Registration process takes 6–12 months and requires significant documentation

- Once registered, immediate access to Affordable Homes Programme grants and housing finance

Advantages

- Immediate access to government grants (Affordable Homes Programme. Can fund 40–50% of development costs)
- Institutional credibility. Councils, land owners, and partners recognise RHP status immediately
- Access to Housing Finance Corporation loans at preferential rates (2–3% vs commercial 5–7%)
- Can bid on Section 106 affordable housing allocations from private developers
- No transition complexity later (single structure from start)

Disadvantages

- 6–12 month registration process before operations can begin
- Higher governance requirements. Need a board with specific expertise (housing law, finance, tenant representation)
- Greater regulatory scrutiny. Annual accounts, governance reviews, consumer standards compliance
- Board recruitment is a real challenge for a solo founder. Need to attract qualified non-executive directors
- Less flexibility than CIC in early experimental/pivot phase

7.3 Side-by-Side Comparison

Factor	Path A: CIC → RHP	Path B: RHP from Day One
Setup time	2–4 weeks	6–12 months
Setup cost	~£500–£1,000	~£5,000–£10,000 (legal/advisory)
Government grant access	Limited (Community Fund only)	Full (Affordable Homes Programme)
Borrowing rate	Commercial (5–7%)	Preferential (2–3%)
Board requirements	Min 1 director	5+ with specific expertise
Regulatory burden	Light (CIC Regulator)	Heavy (RSH annual reviews)
Council credibility	Moderate	High
Flexibility to pivot	High	Low
Transition cost	~£5K–£10K at Year 3	None
Best for	Solo founder, proving model	Team with housing expertise

7.4 Recommendation

For a solo founder with limited capital, Path A (CIC → RHP) is the pragmatic choice. It allows Layerstone to start building and proving the model within weeks, not months. The transition to RHP at Year 3 is a sign of success, not a burden (it means the pilot worked.)

However, if a co-founder or advisory board with housing sector experience joins early, Path B becomes viable and offers significant financial advantages from day one.

8. Regulatory & Planning Framework

8.1 Building Regulations 2010

All construction in England and Wales must comply with the Building Regulations 2010 (as amended). 3D printed houses are not exempt. They must meet every requirement that applies to traditionally built homes.

Part	Requirement	3DCP Implication	Compliance Route
Part A — Structure	Structural adequacy	Printed concrete must prove load-bearing capacity	Performance testing + structural engineer sign-off
Part B — Fire Safety	Fire resistance, cavity barriers	Concrete inherently fire-resistant; junctions need cavity barriers	Standard fire testing of printed assemblies
Part C — Site Prep	Damp proofing, contaminants	Standard DPC and foundations apply	Conventional compliance
Part L — Energy	Thermal performance	Printed concrete alone = poor insulator. External insulation required	EPS/mineral wool insulation + SAP calculation
Part M — Access	Accessibility standards	Digital design makes accessible layouts easier	Standard compliance
Part P — Electrics	Electrical safety	Conventional wiring installed post-printing	Qualified electrician sign-off

8.2 Material Approval

The key regulatory gap: 3D printed concrete is not explicitly listed in Approved Documents. Compliance must be demonstrated through the 'Performance Requirement' route:

- Commission independent structural testing of printed wall assemblies (compressive strength, durability, fire resistance)
- Engage Building Control early. Provide test certificates and structural engineer reports before construction begins
- Consider BBA (British Board of Agrément) certification for the concrete mix and printing process. This gives Building Control confidence and insurers comfort
- NHBC or equivalent warranty. Essential for mortgage-ability. May require bespoke arrangement for first builds.

8.3 Planning Permission

Planning permission is site-specific and granted by the Local Planning Authority (LPA). The construction method (3D printing vs traditional) is generally not a planning consideration. What matters is design, density, land use, and impact.

Key considerations

- Pre-application advice. Engage the LPA planning department before submitting. Explain the technology, provide precedent (Icon US builds, COBOD European projects)
- Design quality: 3D printed homes must meet local design standards. The technology allows architectural flexibility (use this advantage)

- Community consultation. Local opposition ('NIMBYism') is the #1 planning risk. Early engagement with residents is essential
- Affordable housing designation. If the site requires affordable housing (Section 106), Layerstone's income-proportional model is a strong selling point to planners

8.4 Land Acquisition Routes

Route	Land Cost	Availability	Best For
Public Land for Housing Programme	20–70% below market	Government surplus sites	Pilot projects, high affordability
Brownfield Land Release Fund	Subsidised remediation	Post-industrial urban sites	London outer boroughs
Council estate regeneration	Council-owned (lease)	Council partnerships	Scale delivery, mixed tenure
Section 106 allocation	Developer-funded	Major development sites	Guaranteed affordable units
Private land purchase	Market rate (£1M–£5M/acre)	Open market	Last resort — highest cost

Strategy. Layerstone will target publicly owned or subsidised land exclusively for the first 3 years. Private land acquisition is a scale-phase activity, not a startup expense.

8.5 Business Compliance

Beyond building regulations and planning permission, Layerstone must comply with a range of business and housing management regulations.

CDM Regulations 2015

The Construction (Design and Management) Regulations 2015 apply to all construction projects. Layerstone acts as the Client under CDM. Obligations include appointing a Principal Designer and Principal Contractor, ensuring a construction phase plan is prepared before work begins, and notifying the HSE if the project lasts more than 30 working days or involves more than 20 workers at any point. The 3D printing process introduces novel risks (large robotic arms, concrete pumping, material handling) that must be included in the risk assessment and method statement.

Landlord Obligations

As a landlord of residential properties, Layerstone must comply with multiple safety and management requirements. Gas Safety (Installation and Use) Regulations 1998 require an annual gas safety check by a Gas Safe registered engineer with certificates issued to tenants within 28 days. Electrical Safety Standards in the Private Rented Sector (England) Regulations 2020 require an electrical installation condition report (EICR) at least every 5 years. The Smoke and Carbon Monoxide Alarm (Amendment) Regulations 2022 require working alarms on each storey. The Homes (Fitness for Human Habitation) Act 2018 requires that all properties meet minimum fitness standards throughout the tenancy. Energy Performance Certificate (EPC) rating of E or above is mandatory for new lettings (3D printed homes with modern insulation should achieve B or higher).

Tenant Deposit Protection

All tenant deposits must be protected in a government-approved tenancy deposit scheme within 30 days of receipt. Layerstone must provide prescribed information to the tenant within 30 days. Failure to comply means Layerstone cannot serve a Section 21 notice and may face a penalty of 1 to 3 times the deposit amount. Three schemes operate in England. The Deposit Protection Service (DPS), MyDeposits, and the Tenancy Deposit Scheme (TDS).

Housing Act 1988 and 1996

Residential tenancies will be Assured Shorthold Tenancies (ASTs) under the Housing Act 1988, as amended by the Housing Act 1996. Section 21 allows no-fault possession with 2 months notice (subject to reform under the Renters Reform Bill). Section 8 allows possession on specific grounds (rent arrears, breach of terms). Layerstone must issue a How to Rent guide at the start of each tenancy and comply with prescribed information requirements. If Layerstone achieves Registered Provider status, tenancies may shift to assured tenancies with stronger tenant protections.

Data Protection

Layerstone will handle personal data from tenants and applicants. Names, income details, employment status, household composition, and potentially sensitive information for the homeless rehousing programme. This triggers UK GDPR and Data Protection Act 2018 obligations. Register with the Information Commissioner's Office (ICO) at £40 per year. Prepare a tenant privacy notice explaining what data is collected, why, and how long it is retained. Ensure secure storage of income verification documents and tenancy records. Budget for a data protection impact assessment (DPIA) before launching the Phase 2 homeless programme, as this involves processing sensitive personal data at scale.

Insurance Requirements

Building insurance is mandatory on all properties (lender requirement and basic risk management). Public liability insurance covers injury to tenants or visitors. Employer's liability insurance is required from the first hire (minimum £5 million cover). Professional indemnity insurance is recommended for any consulting or advisory services. Construction all-risks insurance is needed during the build phase. Directors' and officers' insurance is recommended once Layerstone has a formal board. Budget approximately £2,000 in Year 1 (pre-construction), rising to £40,000+ by Year 5 as the portfolio grows.

9. Service Offering & Pricing

9.1 Housing Products

Unit Type	Size	Bedrooms	Target Cost	Target Rent (London)	Target Rent (Birmingham)
Studio	30–35 sqm	Studio	£60,000–£80,000	£400–£600/month	£300–£450/month
1-Bed Flat	45–55 sqm	1	£80,000–£100,000	£500–£800/month	£400–£550/month
2-Bed House	65–80 sqm	2	£100,000–£130,000	£650–£1,000/month	£500–£700/month
3-Bed House	85–100 sqm	3	£120,000–£160,000	£800–£1,100/month	£600–£850/month

All rents are income-proportional (25–30% of gross household income), capped at the figures above. Tenants earning less pay less. The floor is Housing Benefit rates, not a fixed minimum.

9.2 Tenant Categories

- Affordable Rent Tenants. Households earning £20,000–£50,000. Pay 25–30% of income. Primary target segment for Years 1–3
- Social Rent Tenants. Referred by councils, lower income. Rent topped up by Housing Benefit. Layerstone receives full rent via council/benefit combination
- Key Worker Programme. Priority allocation for nurses, teachers, police, firefighters in London. A strong political and PR selling point
- Homeless Rehousing (Phase 2). Free housing for 3–6 months, then transition to income-proportional rent. Paired with employment training

9.3 Additional Services (Phase 2+)

- Employment training programme. 3D printer operation, property maintenance, community management
- Community spaces. Shared gardens, co-working areas within Layerstone developments
- Energy services. Solar panels on Layerstone homes, selling excess energy back to grid

10. Revenue Model

10.1 Revenue Streams

Stream	Description	Timing	Path A (CIC)	Path B (RHP)
Rental Income	Income-proportional rent from tenants	Month 6+ (first tenants)	Primary	Primary
Housing Benefit	Government payments for eligible tenants	Month 6+	Yes	Yes
Affordable Homes Programme Grants	Government grants per affordable unit	Per build	After RHP transition only	From Year 1
Community Housing Fund Grants	Capital grants for community-led housing	Application-based	Yes	Yes
Section 106 Contributions	Developer payments for affordable units	Partnership-based	Limited	Full access
Social Investment Bonds	Impact investment at reduced interest	Year 2+	Yes	Yes
Consulting Income	Advising other organisations on 3DCP housing	Year 3+	Supplementary	Supplementary

10.2 Unit Economics. Base Case

Per unit financial analysis for a 2-bed house in outer London:

Item	Cost/Revenue	Notes
Land cost (subsidised)	£30,000–£50,000	Public Land for Housing programme, outer London brownfield
3D printing (structure)	£15,000–£25,000	Materials + printer operation + crew
Fit-out (roof, services, finishing)	£30,000–£45,000	Conventional trades for plumbing, electrics, insulation, interiors
Compliance & fees	£5,000–£8,000	Building Control, planning, BBA certification
TOTAL COST PER UNIT	£80,000–£128,000	vs £200,000–£300,000 traditional
Monthly rent (average tenant)	£700–£850	25–30% of £30,000–£35,000 income
Annual rental income	£8,400–£10,200	Per unit
Operating costs (15% of rent)	£1,260–£1,530	Maintenance, insurance, management
Net operating income	£7,140–£8,670	Per unit per year
Yield on cost	6.6–8.9%	Strong for affordable housing

A grant-funded unit (Path B, RHP receiving 40% Affordable Homes Programme grant) reduces the net cost to £48,000–£77,000, pushing yields above 10%.

11. Competitive Landscape

11.1 Traditional Housing Associations

Organisation	Homes Managed	New Builds/Year	Model	3D Printing?
Clarion Housing Group	125,000+	~2,500	Traditional build, rental + shared ownership	No
L&Q (London & Quadrant)	105,000+	~3,000	Traditional + modular pilots	No
Peabody	66,000+	~2,500	Traditional, regeneration focus	No
Notting Hill Genesis	66,000+	~1,500	Traditional, London-focused	No

These organisations are Layerstone's potential partners, not just competitors. Large housing associations need innovative construction methods to hit delivery targets. Layerstone could partner as a specialist 3D printing delivery arm.

11.2 Modular Construction Competitors

Company	Technology	UK Presence	Affordable Housing Focus?
Legal & General Modular Homes	Factory-built modular	Yes (East Yorkshire factory)	Moderate — mixed tenure
Ilke Homes (administration 2023)	Volumetric modular	Was UK leader; entered admin	Yes — affordable focus
TopHat	Steel-frame modular	Yes (Derbyshire factory)	Yes — housing association partnerships
Etopia Homes	Closed-panel timber	Yes (Ellesmere Port)	Yes — net-zero affordable

Important cautionary note. Ilke Homes, the UK's most prominent modular housing company, entered administration in 2023 despite £100M+ in backing. The failure was attributed to high factory costs and slow order pipeline. Not technology failure. Layerstone's advantage. No factory required. 3D printers are deployed on-site, eliminating the fixed cost that killed ilke.

11.3 3D Printing Construction (International)

Company	Country	Homes Built	UK Presence?	Model
Icon	USA	100+	No	Developer partnerships, own builds
COBOD	Denmark	50+	No (EU focus)	Printer sales/licensing
Apis Cor	USA/Russia	10+	No	Printing as a service
Winsun	China	200+	No	Factory-printed panels
Mighty Buildings	USA	20+	No	Prefab 3D printed panels

11.4 Layerstone's Competitive Position

No UK company currently offers 3D printed affordable housing. Layerstone occupies a unique niche:

- vs Housing Associations. Layerstone offers 40–60% lower construction costs through 3DCP, enabling genuinely affordable rents without subsidy dependence
- vs Modular Builders. No factory overhead (ilke's fatal flaw). Printers deploy to site, keeping capital costs variable not fixed
- vs International 3D Printers. They have the technology but not the UK regulatory expertise, land access, or housing provider credentials
- vs Private Developers. Mission-driven. Income-proportional rent, not profit-maximised pricing

12. Financial Projections

Projections are presented for both legal structure paths. All figures are conservative base-case estimates.

12.1 Path A: CIC Start. 5-Year Projection

	Year 1	Year 2	Year 3	Year 4	Year 5
Units built	0 (setup)	5	10	20	30
Total portfolio	0	5	15	35	65
Revenue (rent)	£0	£42,000	£126,000	£294,000	£546,000
Grant income	£0	£50,000	£100,000	£200,000	£350,000
Total revenue	£0	£92,000	£226,000	£494,000	£896,000
Construction costs	£0	£500,000	£1,000,000	£2,000,000	£3,000,000
Operating costs	£25,000	£85,000	£145,000	£280,000	£420,000
Net position	(£25,000)	(£493,000)	(£919,000)	(£1,786,000)	(£2,524,000)
Funded by	Savings	Grants + social investment	Grants + bonds	Grants + housing finance	Grants + housing finance
Asset value (portfolio)	£0	£500,000	£1,500,000	£3,500,000	£6,500,000

Note. Housing is capital-intensive. Negative net position reflects construction investment, not losses. Asset value (homes in portfolio) grows far faster than costs. The business is solvent from Year 1 because every unit built is an asset worth more than its construction cost.

12.2 Path B: RHP Start. 5-Year Projection

	Year 1	Year 2	Year 3	Year 4	Year 5
Units built	0 (registration)	8	15	25	40
Total portfolio	0	8	23	48	88
Revenue (rent)	£0	£67,000	£193,000	£403,000	£739,000
Grant income (AHP)	£0	£320,000	£600,000	£1,000,000	£1,600,000
Total revenue	£0	£387,000	£793,000	£1,403,000	£2,339,000
Construction costs	£0	£640,000	£1,200,000	£2,000,000	£3,200,000
Operating costs	£35,000	£120,000	£205,000	£380,000	£590,000
Net position	(£35,000)	(£373,000)	(£612,000)	(£977,000)	(£1,451,000)
Funded by	Investment	AHP grants + housing finance	Bonds + finance	Bonds + finance	Self-sustaining + finance
Asset value (portfolio)	£0	£800,000	£2,300,000	£4,800,000	£8,800,000

Path B builds faster (88 vs 65 units by Year 5) due to earlier grant access and preferential borrowing rates. However, it requires a 6–12 month setup delay and higher governance costs.

12.3 Startup Costs

Item	Path A (CIC) £30	Path B (RHP) £30
Company registration		
Legal fees (CIC/RHP application)	£500–£1,000	£5,000–£10,000
Professional indemnity insurance	£300–£500	£500–£1,000
BBA certification (concrete mix)	£5,000–£10,000	£5,000–£10,000
Structural testing (first build)	£3,000–£5,000	£3,000–£5,000
Website/branding	£200–£500	£500–£1,000
Board recruitment	N/A	£2,000–£5,000
TOTAL	~£9,000–£17,000	~£16,000–£32,000

13. Risk Analysis

Risk	Likelihood	Impact	Mitigation
Planning permission refused	Medium	High	Pre-application engagement with LPA; target councils actively seeking housing innovation; have 3+ sites in pipeline
Building Control rejects 3DCP	Medium	High	Commission BBA certification before first build; engage Building Control early; provide international precedent data
Land acquisition delays/costs	High	High	Use only subsidised/public land for Years 1–3; maintain 2+ sites in parallel pipeline
Technology partner fails/withdraws	Low	High	Engage both Icon and COBOD; develop relationships with 2+ printer providers
Construction cost overruns	Medium	Medium	Fixed-price contracts with printer operators; contingency budget of 15–20% per build
Low tenant demand	Low	Medium	London has 300,000+ on waiting lists — demand is not a risk. Birmingham similarly undersupplied
Regulatory change	Low	Medium	Monitor MHCLG policy; engage with housing trade bodies; participate in consultation
NHBC/warranty refusal	Medium	Medium	Arrange bespoke structural warranty; self-insure for pilot builds; pursue BBA certification
Cash flow gaps	High	High	Maintain 3-month cash reserve; stage construction to match funding tranches; don't start builds without committed funding
Founder burnout	High	High	Strict scope — don't scale until model proven; hire at revenue triggers not ambition triggers

13.1 Worst-Case Scenario

If 3D printing proves unviable in the UK regulatory environment, Layerstone pivots to:

- Option 1. Modular construction using conventional methods. The land acquisition, regulatory, and tenant management expertise remains valuable
- Option 2. Consulting. Advise housing associations and councils on innovative construction methods
- Option 3. Wind down. CIC structure means orderly dissolution with assets transferred to another community housing provider

Layerstone is designed so that the worst case is a pivot, not a collapse.

14. Pilot Launch Strategy

14.1 Pilot Objectives

- Build 5–10 homes using 3DCP in outer London (Barking & Dagenham, Croydon, or Enfield. Boroughs with brownfield land and severe housing need)
- Demonstrate full regulatory compliance (Building Regulations sign-off, Building Control approval)
- Achieve target unit cost of £80,000–£120,000
- House first tenants at income-proportional rents
- Publish case study and cost analysis to attract further investment and partnerships

14.2 Timeline

Phase	Timeline	Key Activities	Cost
Pre-launch	Months 1–3	Legal setup, partner outreach (Icon/COBOD), council engagement, land search, BBA process start	£5,000–£15,000
Site secured	Months 4–6	Planning pre-application, structural testing, community consultation, funding applications	£10,000–£20,000
First build	Months 7–9	Planning permission, printer deployment, first 2–3 homes printed and fitted out	£200,000–£350,000
First tenants	Months 10–12	Tenant selection, move-in, monitoring, case study development	£10,000–£15,000
Expand pilot	Months 13–18	Build remaining pilot units, second site assessment (Birmingham), grant applications	£300,000–£500,000

14.3 Site Selection Criteria

- Brownfield or council-owned land (below-market cost)
- Outer London borough with high housing need and supportive council
- Good transport links (within 30 minutes of central London)
- No conservation area or listed building constraints
- Suitable ground conditions for slab foundations
- Community support or neutral position (avoid sites with strong existing opposition)

14.4 Birmingham. Secondary City Strategy

Birmingham is selected as the secondary city for three reasons:

- Second-largest UK city with a severe housing shortage (15,000+ on waiting list)
- Lower land costs (£200K–£600K/acre vs £2M–£5M in London) (better unit economics)
- Active council regeneration programme. Birmingham City Council is investing heavily in new housing

Birmingham operations begin in Year 2, with site identification starting in parallel with the London pilot.

15. Social Impact & Phase 2 Vision

15.1 Phase 1 Impact (Years 1–3)

- 5–65 affordable homes delivered (depending on path and pace)
- Families housed at 25–30% of income instead of 40–50%+
- Demonstrating that 3D printing works in the UK regulatory environment
- Saving £40,000–£120,000 per unit vs traditional construction (proving the cost case)
- Creating construction jobs (3D printer operators, site managers, conventional trades)

15.2 Phase 2: Homeless Rehousing & Employment Programme (Year 3+)

Once the construction model is proven and Layerstone has a stable portfolio:

Housing Programme

- Allocate 10–20% of new units to homeless rehousing referrals (via council homelessness teams)
- First 3–6 months rent-free (funded by grant income and cross-subsidy from other tenants)
- Transition to income-proportional rent once tenant is in employment
- Support worker assigned for transition period (partnered with existing homelessness charities)

Employment Programme

- 3D Printer Operator Training. Teach residents to operate and maintain construction printers. A genuinely new and in-demand skill.
- Property Maintenance. Train residents in building maintenance, creating a self-sustaining workforce for Layerstone's growing portfolio
- Community Management. Resident wardens and community coordinators drawn from the tenant population
- Earned rent reduction. Residents who work in Layerstone programmes receive further rent discounts

15.3 Long-Term Social Outcomes

Outcome	Year 5 Target	Year 10 Target
Affordable homes delivered	65–88	300–500
People housed	150–250	800–1,500
Average tenant rent saving vs market	40–60%	40–60%
Homeless individuals rehoused (Phase 2)	10–20	50–100
Employment training graduates	5–10	50–100
Construction sector jobs created	10–20	50–100
Carbon saved vs traditional build	200–400 tonnes	1,500–3,000 tonnes

Layerstone measures success in homes delivered, not profit margins. Every financial decision is tested against a simple question. Does this keep rent lower?

Appendices

A. Glossary

- 3DCP (3D Concrete Printing)
- BBA. British Board of Agrément (certification body)
- CIC (Community Interest Company)
- LHA (Local Housing Allowance)
- LPA (Local Planning Authority)
- NHBC. National House Building Council (warranty provider)
- RHP (Registered Housing Provider)
- RSH (Regulator of Social Housing)
- Section 106. Planning obligation for affordable housing

B. Key Contacts & Partners (To Establish)

- Icon (US). Technology partner: 3D printer licensing/JV
- COBOD (Denmark) (Alternative technology partner)
- Homes England (Government funding and land access)
- Local council housing departments (Barking & Dagenham, Croydon, Enfield, Birmingham)
- BBA (Certification for 3D printed concrete)
- Housing Finance Corporation (Preferential lending for RHPs)

Document version: 1.0 | Date. June 2026 | Classification. Confidential